package transaction that includes a component security-based swap that is subject exclusively to the Commission's jurisdiction but is not subject to the clearing requirement under section 3C of the SEA *and is not intended to be cleared*. And the Commission is adding new subsection (iv) to Rule 815(d)(3) to provide that a Required Transaction in a package transaction is ineligible to be treated as a Permitted Transaction if it is "[a] Required Transaction that is executed as a component of a package transaction in which all other non-SBS components are swaps that are subject to a trade execution requirement under the CFTC's rules."

With respect to the suggestion that the Commission take a different approach from that of the CFTC and develop tailored rules for SBS, the package-transaction rule is not the appropriate place to recognize the differences between the swaps and the SBS market. Rather, the clearing determinations and MAT determinations will necessarily consider the trading characteristics of a given SBS, and both these determinations will have to be made before the package transaction exception would ever potentially be relevant to a transaction in that SBS.

For the foregoing reasons, the Commission is adopting Rule 815(d) with the modifications to paragraph (d)(2) and (d)(3), as described above.

5. Rule 815(e)

Proposed Rule 815(e) is modeled on § 37.9(e), which requires SEFs to maintain rules and procedures for resolution of operational and clerical error trades, which could be for swaps that otherwise would be subject to required methods of execution. Proposed Rule 815(e) would also require an SBSEF to maintain rules and procedures that facilitate the resolution of error trades and sets forth certain requirements designed to promote resolution in a fair, transparent, and

consistent manner. Definitions of the terms "correcting trade," "error trade," and "offsetting trade" would be included in Rule 802 rather than in Rule 815(e).[252]

The Commission received one comment letter on this provision.[253] The commenter states that, with respect to a cleared SBS, correcting an error trade that was rejected by a clearing agency is not feasible unless the rejected error trade is declared by the SBSEF void *ab initio*. Otherwise, the commenter states, the parties might be encumbered by unresolved obligations related to the rejected SBS trade, and this might further prevent a timely and efficient resolution of the error. For this reason, the commenter recommends that the SBSEF should be able to declare void *ab initio* any trade rejected by a clearing agency.[254]

The CFTC's rules for addressing error trades are well articulated and well understood by the market, and they continue to serve as an appropriate model for the Commission's rules. Furthermore, because most if not all SBSEFs also will be registered with the CFTC as SEFs, close harmonization in this regard would allow dually registered entities to employ the same procedures for addressing error trades, whether they arise in the context of swap trading or SBS trading. Therefore, the rules for addressing error trades should not differ between the SBS regime and the swaps regime. While the Commission appreciates the difficulties that might arise in trying to correct an error trade that has been rejected by a clearing agency, under Proposed Rule 815(e), an SBSEF would be required to adopt rules and procedures for addressing such

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252 *See* Proposed Rule 802 (defining "correcting trade" as a trade executed and submitted for clearing to a registered clearing agency with the same terms and conditions as an error trade other than any corrections to any operational or clerical error and the time of execution); Proposed Rule 802 (defining "error trade" as any trade executed on or subject to the rules of an SBSEF that contains an operational or clerical error); Proposed Rule 802 (defining "offsetting trade" as a trade executed and submitted for clearing to a registered clearing agency with terms and conditions that economically reverse an error trade that was accepted for clearing). These definitions are modeled on the definitions of the same terms in § 37.9(e)(1).

253 *See* Bloomberg Letter, *supra* note 18, at 3, 14.

254 *See id.*

situations, which it could do by, among other things, declaring trades rejected by a clearing agency as void *ab initio*, as it would be required to do for non-error trades that are rejected for clearing under Rule 815(g). For the foregoing reasons, the Commission is adopting Rule 815(e) as proposed.

6. Rule 815(f)

Rule 815(f) is modeled on § 37.9(f), which addresses counterparty anonymity and is widely referred to as the prohibition on "post-trade name give-up" ("PTNGU"). Proposed Rule 815(f) would generally prohibit any person, directly or indirectly (including through a third-party service provider), from disclosing the identity of a counterparty to an SBS that is executed anonymously on an SBSEF and intended to be cleared and requires the SBSEF to establish and maintain rules to that effect. Furthermore, it provides that "executed anonymously" as used in the rule includes an SBS that is pre-arranged or pre-negotiated anonymously, including by an SBSEF participant. Finally, Rule 815(f) provides that, for a package transaction that includes a component SBS that is not intended to be cleared, disclosing the identity of a counterparty would not violate the rule.

The Commission received several comments on Proposed Rule 815(f).[255] Most of the commenters support the rule.[256] Several commenters state that they strongly support the proposal harmonizing with the CFTC rules to prohibit PTNGU for SBSs executed anonymously on SBSEFs and that are intended to be cleared.[257] One commenter asserts that PTNGU has no legitimate purpose for centrally cleared financial instruments, since trading counterparties face

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255 *See* Bloomberg Letter, *supra* note 18, at 14–15, Citadel Letter, *supra* note 18, at 10–12, SIFMA AMG Letter, *supra* note 18, at 10–12, WMBAA Letter, *supra* note 18, at 5.

256 *See* Bloomberg Letter, *supra* note 18, at 14–15, Citadel Letter, *supra* note 18, at 10–12, SIFMA AMG Letter, *supra* note 18, at 10–12.

257 *See* Citadel Letter, *supra* note 18, at 10; SIFMA AMG Letter, *supra* note 18, at 10.

the central clearinghouse and do not have any credit, operational, or legal exposure to each other post-trade.[258] This commenter states that PTNGU functions as a source of uncontrolled information leakage since a market participant has no control over who it will be matched with when executing through a pre-trade anonymous trading protocol, such as an order book. Accordingly, a buy-side firm must be comfortable potentially sharing its trading activity with every other participant on the trading venue, including other buy-side firms before using an anonymous order book with PTNGU. The commenter considers this an unattractive proposition for buy-side firms that completely undermines the anonymous nature of the trading protocol and deters access and participation. The commenter also argues that PTNGU is a discriminatory practice that impedes market participant access to trading venues by allowing dealers to monitor whether buy-side firms have started to transact in anonymous order books and use this information as a policing mechanism to deter buy-side access and participation.[259] The commenter also states that Rule 815(f)(3)[260] is drafted to prevent evasion by voice brokers. Other commenters express similar views.[261]

Another commenter states that if the Commission prohibits PTNGU, its policy would mirror the CFTC's approach and that certain traders would be more likely to participate on

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258 *See* Citadel Letter, *supra* note 18, at 10.

259 *See* Citadel Letter, *supra* note 18, at 11. This commenter also cites news articles relating the accounts of buy-side firms of dealers contacting them to get them not to join SEF platforms. *See id.* at 11 n.20.

260 Rule 815(f)(3) provides that SBSs that are "executed anonymously" include SBSs that are pre-arranged or pre-negotiated anonymously, which would include voice broker trades.

261 *See* SIFMA AMG Letter, *supra* note 18, at 10 (stating that PTNGU for anonymously traded cleared SBSs is unnecessary and does not provide any advantages to clients, but rather leads to uncontrolled information leakage); Bloomberg Letter, *supra* note 18, at 15 (stating that prohibiting PTNGU facilitates and promotes trading on SBSEFs and promotes pre-trade price transparency by encouraging more participants to bid anonymously, whereas the practice of requiring disclosure of one counterparty's name to the other counterparty increases the risk of information leakage and can deter participation by liquidity seekers on SBSEFs).

venues that offer anonymous execution, including order book functionality.[262] This, in turn, the commenter argues, could result in deeper liquidity pools on SBSEFs and promote the development, innovation, and growth of the SBS market.[263] The commenter asserts that the Commission's rules should be designed to better promote the development, innovation, and growth of the swaps market, with the intent of attracting liquidity formation onto SBSEFs, in a manner that adds to efficiency for the market and market participants.

One commenter also states that PTNGU was a more important feature of the market when few swaps were centrally cleared and market participants needed to know their counterparty's identity to manage the associated credit risk; however, with the prevalence of central clearing, the need for PTNGU is diminished for cleared swaps.[264]

A few commenters, while generally supportive of the rule, suggest some modifications to it.[265] One commenter argues that Rule 815(f)(4)[266] is overbroad and may significantly limit the scope of the prohibition.[267] Specifically, this commenter states that many security-based swaps are transacted as part of a package transaction with other instruments (e.g., single-name CDS and index CDS). The commenter argues that, at a minimum, any exception for package transactions should only apply to packages that include a component that is not an SBS intended to be cleared *or a swap that is intended to be cleared*. The commenter expresses concern that the current

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262 *See* SIFMA AMG Letter, *supra* note 18, at 10.

263 *See id.* at 11.

264 *See* Bloomberg Letter, *supra* note 18, at 15.

265 *See* Bloomberg Letter, *supra* note 18, at 15, Citadel Letter, *supra* note 18, at 11, WMBAA Letter, *supra* note 18, at 5.

266 Rule 815(f)(4) provides that, for a package transaction that includes a component transaction that is not an SBS intended to be cleared, disclosing the identity of a counterparty shall not violate the other provisions in the rule that prohibit the disclosure of the identity of a counterparty for SBSs executed anonymously.

267 *See* Citadel Letter, *supra* note 18, at 11.

language would appear to exempt packages containing CFTC-regulated swaps, even if those instruments should be subject to an equivalent prohibition (notwithstanding the working of the corresponding CFTC exception for packages). The commenter encourages the Commission to work with the CFTC to avoid creating a loophole for common packages containing swaps and security-based swaps that are all intended to be cleared. Furthermore, the commenter questions the need for Rule 815(f)(4) at all. The commenter states that, as proposed, the prohibition on PTNGU applies only to security-based swaps that are executed anonymously and intended to be cleared. The commenter argues that PTNGU could still be used for the uncleared security-based swap leg of a package transaction containing both a cleared security-based swap and an uncleared security-based swap, even without Rule 815(f)(4).

One commenter argues that the Commission should take an evolutionary approach to the prohibition on name give-up, which initially should apply only to Required Transactions, and not Permitted Transactions on an SBSEF where clearing may not be certain leading up to or at the time of trade execution.[268] This commenter believes that this approach would encourage liquidity formation and further development of less liquid SBSs where an SBSEF trading mandate is not required.

One commenter suggests that the Commission augment the rule with a prohibition on trade-relationship documentation for SBS that are intended to be cleared and grant the SBSEF the ability to void *ab initio* trades rejected from clearing to avoid the necessity of post-trade name disclosure in case of an error trade.[269]

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[268] *See* WMBAA Letter, *supra* note 18, at 5.

[269] *See* Bloomberg Letter, *supra* note 18, at 15.

The Commission agrees with commenters that prohibiting post-trade name give-up for cleared trades is reasonably necessary to facilitate and promote trading on SBSEFs, and Proposed Rule 815(f) would accomplish these goals.

The Commission disagrees with the comment that Rule 815(f)(4) is overbroad and unnecessary. The Commission finds that Rule 815(f)(4) is necessary and important to provide clarity about the application of the PTNGU prohibition to package transactions and also to provide consistency with the CFTC's approach. Narrowing the exception in Rule 815(f)(4) as suggested by one commenter so that it would not apply if a component of a package transaction were a cleared swap would cause the Commission's approach to PTNGU to differ from that of the CFTC and create the potential for different PTNGU rules to apply to different components of the same package transaction. That is, if the Commission modified Rule 815(f)(4) as the commenter suggests, in the case of a package transaction comprising an SBS that is intended to be cleared and a swap that is intended to be cleared, Rule 815(f)(4) would *prohibit* PTNGU, but § 37.9(f)(4) would *permit* PTNGU.[270] To avoid this situation, the Commission declines to modify Rule 815(f)(4) as suggested.

Further, the Commission disagrees with the comment that the prohibition on PTNGU should initially apply only to Required Transactions. The prohibition on PTNGU is designed to promote pre-trade price transparency by encouraging a greater number, and a more diverse set, of market participants to anonymously post bids and offers on regulated markets, and it does so by preventing the sharing of the names of counterparties where such sharing is unnecessary—namely, when a transaction is cleared. Whether clearing the transaction is required or voluntary

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[270] Section 37.9(f)(4) provides, in relevant part, that "[f]or a package transaction that includes a component transaction that is not a swap intended to be cleared, disclosing the identity of a counterparty shall not violate" the prohibition against PTNGU. 17 CFR 37.9(f)(4).

is not relevant to the purposes of prohibiting PTNGU. With regards to trades rejected from clearing, the prohibition on PTNGU would apply to all trades that are *intended* to be cleared, not just those that are successfully cleared, so that prohibition would also apply to a trade that is submitted but then rejected for clearing. For the foregoing reasons, the Commission is adopting Rule 815(f), as proposed, with minor technical modifications.[271]

7. Rule 815(g)

One commenter states that in order to protect counterparty anonymity in the event of an SBS that is executed anonymously and intended to be cleared, but is nonetheless rejected for clearing, the SBSEF should declare the trade void *ab initio*.[272] The commenter suggests that the Commission augment the rule to prohibit trade relationship documentation for SBS that are intended to be cleared and to grant SBSEFs the ability to declare trades rejected from clearing void *ab initio* in order to avoid post-trade name disclosure in the case of a rejected trade.

The Commission agrees that declaring such trades void *ab initio*, which helps prevent trades rejected from clearing from effectively becoming bilateral transactions where the identity of counterparties might be disclosed. This approach is also consistent with practices in the swaps market with respect to such trades.[273] Therefore, the Commission is amending Rule 815 to add a new paragraph (g), which specifies that SBSEFs shall establish and enforce rules that provide

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271 The Commission has corrected a reference in paragraph (f)(2) to a "security-based swap execution facility" to refer instead to a "security-based swap." The Commission has also changed first instance of the word "paragraph" in paragraph (f)(4) to "paragraphs."

272 *See* Bloomberg Letter, *supra note* 18, at 14–15. *See also* Citadel Letter, *supra note* 18, at 5 (stating that the CFTC guidance regarding trades that are void *ab initio* has eased trading of cleared swaps on SEFs and "facilitated the entry of new liquidity providers that do not have legacy bilateral trading documentation in place with clients").

273 *See* CFTC, Division of Clearing and Risk and Division of Market Oversight Staff Guidance on Swaps Straight-Through Processing (Sept. 26, 2013), *available at* https://www.cftc.gov/sites/default/files/idc/groups/public/@newsroom/documents/file/stpguidance.pdf ("CFTC 2013 STP Guidance").

that a security-based swap that is intended to be cleared at the time of the transaction, but is not accepted for clearing at a registered clearing agency, shall be void *ab initio*. In light of new paragraph (g), the Commission is generally of the view that it would not be consistent with the impartial-access requirements of Rule 819(c) for an SBSEF to permit its members to require bilateral relationship documentation from their counterparties with respect to SBS that are intended to be cleared.[274] Consequently, the Commission finds that it is not necessary to include a prohibition on trade relationship documentation in Rule 815 for SBS that are intended to be cleared.

For the foregoing reasons, the Commission adopting Rule 815(f)(1) through (4), with minor technical modifications,[275] and is also adding a new paragraph (g), as discussed above.

F. Rule 816—Trade Execution Requirement and Exemptions Therefrom

Section 3C of the SEA[276] sets out a procedure whereby an SBS becomes subject to mandatory clearing. Section 3C(h) of the SEA provides that, if a transaction involving an SBS is subject to the mandatory clearing requirement, the counterparties shall execute the transaction on an exchange, on an SBSEF registered under section 3D of the SEA, or on an SBSEF that is exempt from registration under section 3D(e) of the SEA, unless no national securities exchange or SBSEF makes the SBS available to trade or the SBS transaction is subject to an exception from the clearing requirement under section 3C(g) of the SEA. This obligation under section 3C(h) is commonly referred to as the "trade execution requirement."

Proposed Rule 816 of Regulation SE establishes procedures for an SBSEF to make an SBS "available to trade" (assuming it is also subject to the clearing requirement), thereby

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274 *See also infra* section VI.B.3.

275 *See supra* note 271.

276 15 U.S.C. 78c-3.

activating the trade execution requirement with respect to that SBS. Rule 816 also includes three proposed exemptions from the trade execution requirement.

Paragraphs (a) through (d) of Rule 816 are modeled on § 37.10 of the CFTC's rules and establish a process whereby an SBS product is MAT by an SBSEF. An SBSEF may list an SBS that is subject to mandatory clearing, but listing the product does not by itself subject the product to the trade execution requirement in section 3C(h) of the SEA. Only if a product that is subject to mandatory clearing is listed *and* a MAT determination has been made would the SBS then become subject to the trade execution requirement. A MAT determination would have to be made and filed by an SBSEF pursuant to Rule 816 to trigger the trade execution requirement, similar to the MAT process of § 37.10.

1. General Comments on Harmonization with CFTC MAT Process

Several commenters cite efforts by the CFTC to review its MAT process as an indication that the Commission should take a different approach for making MAT determinations rather than align with the CFTC's current rule.[277] One commenter cites to the findings of the Market Risk Advisory Committee ("MRAC"), an advisory committee that provided recommendations to the CFTC, and states that the MRAC and the CFTC raised concerns regarding the current MAT process for swaps.[278] This commenter states that reforming the MAT process was included as an agenda item in the CFTC 2021 fall rulemaking agenda and that, for this reason, the Commission should align the MAT process for SBS with the recommendations made by the MRAC or, in the alternative, coordinate with the CFTC to ensure that the MAT process is aligned and conducted in a manner that allows input from a variety of stakeholders and the Commission. Another

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[277] *See* Bloomberg Letter, *supra* note 18, at 15–16; ISDA-SIFMA Letter, *supra* note 18, at 5.

[278] *See* Bloomberg Letter, *supra* note 18, at 15–16.